

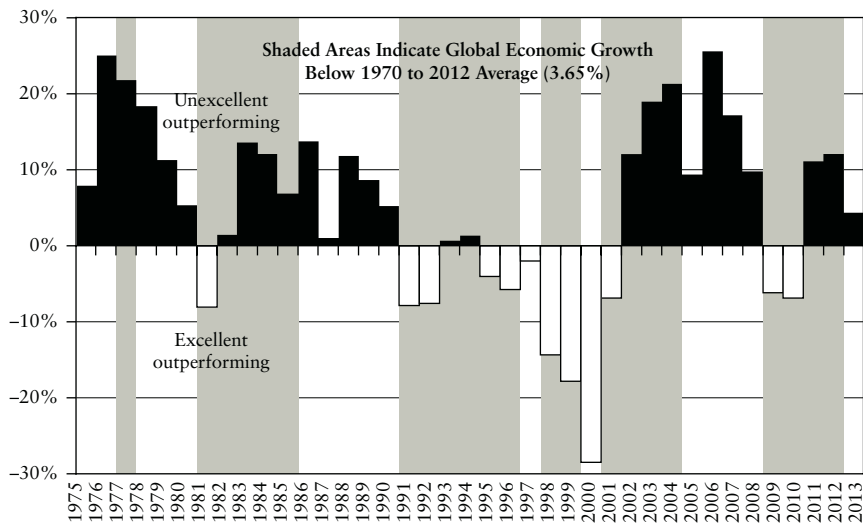


FIGURE 7.2 Relative Performance of Unexcellent and Excellent Stock Portfolios (Trailing Three-Year Annualized Returns 1972 to 2013)

Source: Stifel Financial Corp. and Eyquem Investment Management LLC.

Figure 7.2 shows the relative performance of the unexcellent and excellent portfolios during periods of lower-than-average global economic growth.

Bannister wrote that the consistent outperformance of the unexcellent portfolios over the S&P 500 and the excellent portfolios was “easily defensible.”⁵⁹

In theory, high returns invite new entrants that drive down profitability, while poor returns cause competitors to exit, as well as lead to potential new management or acquisition by a competitor or financial buyer.

Investment analysts must weigh whether excellence in financial metrics is discounted in the stock price with potential downside risk. We conclude that what constitutes “excellence” for managers is most often not the case for investors.

Bannister concluded that exceptional long-term equity returns were available from unexcellent portfolios of “past financial metric laggards provided that they were supported by a disciplined value investment process.” The stocks outperformed as the businesses of the unexcellent companies reverted to the mean.